

Price drops for an average of 6 days and returns to the breakout price (or near it), in a roundtrip total of 12 days. The drop from the breakout to the low at the bottom of the pullback attempt measures 7% to 10% (for bull and bear markets, respectively). If you short the stock a penny below the breakout and place an order to cover the short 5% to 7% lower than the breakout, you might be able to catch the drop and make a profit.

The median decline is 6% (bull market) to 8% (bear market) in 5 days (for both markets).

Busted trade. Another way to trade a big M is to buy the stock long if the big M busts. After busting a downward breakout, price soars an average of 55% for a *single* busted pattern. Even if you only capture half of that, it's still a big gain. See [Table 6.9](#) for details. The trick is to pick single busted trades, so look for overhead resistance within 10% of the breakout price, which might send the stock scurrying for cover.

Tips. I don't have any trades in big Ms to share with you because I don't like to short stocks. However, I do have some tips I want to pass on from what I've learned studying them in the bush.

Look at [Figure 6.4](#) with a big M at CE. Notice the knot of support circled at I. If I was shorting this stock, this knot of support would be my first choice for where the stock will turn.

The knots need not be midway up from the launch price (but they do tend to be about midway). That is, it's about midway up the move from B to C.

What you want to look for is 3 days (or more) of horizontal price movement. Not a loose meandering of price, but a tight sideways move with lots of overlap. H is a good example of what to look for, but it's often shorter than what's shown. I is a good example. The two weeks to the left of B shows a third example of what to look for (not the placement in the BC run, but the type of horizontal move you're looking for). Sometimes it's only 3 or 4 days wide, but it's enough to support price.

The knot of support should be the first one *below* the confirmation price. In this example, D is the confirmation price of the big M. Notice that price drops to F and finds support at I. As a price target, pick the *highest* price in the knot. [Chapter 1](#) gives a good tutorial on knots, so reread that if you need a refresher.